Tesla, Inc.

TSLA NASDAQ

Hold	$394.64 ▼ 2.15%	12M Price Target $440.00	52-Week Range $297.38 – $498.83	Market Cap $1.56T

TSLA: Pullback as EV Credit Phase-Out Looms

WHAT HAPPENED

- Stock dropped 2.15% to $394.64 on no specific news — this looks like digestion after last week's run from $391 to $407. When a stock pulls back on zero headlines, it's usually profit-taking plus options positioning, and the options flow confirms it: massive put buying at the $400 strike (130K contracts, 17x normal open interest) means somebody big is either hedging a long position or betting on more downside into month-end.
- The put/call ratio flipped bearish at 1.07 — meaning more people are buying downside protection than upside bets, which is unusual for TSLA where retail call-buying usually dominates. That's a yellow flag.

WHY IT MATTERS

Here's what's really going on: TSLA is caught between two narratives right now. The old narrative (sell cars, collect $7,500 EV tax credit per vehicle) is dying because the Trump administration killed the federal EV tax credit effective September 30, 2025 — Q4 2026 is the first full quarter where Tesla faces US demand without that subsidy, and the Street is nervous about what the delivery number looks like. The new narrative (robotaxi in Austin, Optimus humanoid, energy storage) needs to pick up the slack, and the market is essentially pricing in "show me." The bearish options flow into October expiry tells me institutions are hedging because they don't trust the next data point — either November delivery guidance or any robotaxi update.

POLICY & POLITICAL WATCH

The big one: the EV tax credit is gone, and the "Big Beautiful Bill" also phased out the $4,000 used EV credit and commercial clean vehicle credits — this is a direct headwind to Tesla's US volumes and ZEV credit revenue (the $2-3B/year Tesla earns selling regulatory credits to other automakers is shrinking as federal fuel economy standards get rolled back). On the positive side, the administration's push to accelerate autonomous vehicle federal rules — pre-empting the state-by-state patchwork — is a massive tailwind for robotaxi because it removes Tesla's single biggest regulatory bottleneck. Also watch China: any tariff escalation hurts Shanghai-produced export margins, while any trade deal thaw helps.

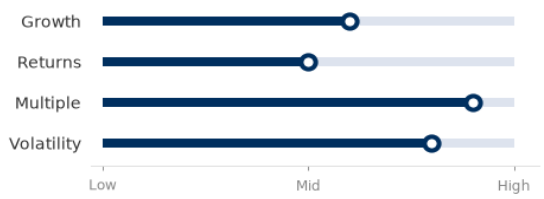
IS IT EXPENSIVE?

At $1.56T market cap and a forward P/E around 160x, investors are paying $160 for every $1 of next year's earnings — that's not a car company multiple, that's a "we believe robotaxi and Optimus will work" multiple. For context, Toyota trades at 10x and Ferrari (the premium benchmark) trades at 45x. The valuation only makes sense if you believe autonomy scales in 2027-2028; if it's just an auto company losing its tax credit tailwind, fair value is probably closer to $200.

Key Data

Price (USD)	**$394.64**
12M Price Target	**$440.00**
Upside / (Downside)	**+11.5%**
Market Cap	**$1.56T**
FY2026E Revenue	**$112M**
FY2027E Revenue	**$135M**
FY2026E EPS	**$2.45**
FY2027E EPS	**$3.60**
Fwd P/E	**161.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

TSLA — Tesla, Inc. | October 30, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$430.00**	$400.00	**$370.00**
6 Months	**$500.00**	$420.00	**$340.00**
1 Year	**$560.00**	$440.00	**$300.00**
2 Years	**$700.00**	$480.00	**$260.00**
5 Years	**$1000.00**	$600.00	**$220.00**
10 Years	**$1800.00**	$850.00	**$180.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Defensive sectors — Consumer Staples (+1.79%), Utilities (+1.00%), Healthcare (+0.96%). This is a classic "risk-off" tape where money is moving into stuff that pays dividends and doesn't care about the economic cycle. That's not a great backdrop for a 160x P/E stock.

COOLING OFF: Materials is red, and notably no high-beta tech sector made the top movers list — the AI/growth trade is taking a breather.

ROTATION WATCH: Money is rotating from "story stocks" to "cash flow stocks" today, which is exactly the wrong environment for TSLA. When utilities outperform tech, it usually means institutions are de-risking.

RELATED PLAY: If you believe the autonomy thesis but want less single-name risk, MobilEye (MBLY) and the LiDAR names (LAZR, OUST) are second-order plays. If you think the EV credit removal hurts Tesla, legacy autos (F, GM) actually benefit relatively because they weren't as reliant on EV credits.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon Mobil): Energy caught a bid on geopolitical premium and the administration's drill-baby-drill stance — direct beneficiary of looser fossil fuel policy.
- NEE (NextEra Energy): Utilities rallying as rates get repriced lower and AI data center power demand becomes the dominant utility story.

TSLA CONTEXT: Tesla is lagging the tape today but still in the upper half of its 52-week range (48% through). The fact that defensive sectors are leading while TSLA sells off tells me this is macro positioning, not a Tesla-specific breakdown — yet. Watch $390: if it breaks, next support is $370.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: $360-380 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Robotaxi rollout stalls or auto gross margins fall below 15%

Hedging: Pair with a short on legacy auto (F or GM) or buy protective puts around earnings

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